

**BEFORE THE
FEDERAL MARITIME COMMISSION**

FMC Docket No. 11-22

**Notice of Inquiry
NVOCC Negotiated Rate Arrangements;
Tariff Filing Exemption**

COMMENTS

**SUBMITTED BY THE
TRANSPORTATION INTERMEDIARIES ASSOCIATION**

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The Transportation Intermediaries Association (TIA) submits these comments on the above referenced Notice of Inquiry (NOI) seeking comments on ways to make the existing tariff filing exemption for non-vessel-operating common carriers (NVOCCs) more useful, including its possible extension to foreign based NVOCCs not licensed by the Commission.

IDENTITY AND INTEREST OF THE TRANSPORTATION INTERMEDIARIES ASSOCIATION

TIA is the professional organization of the \$162 billion third party logistics industry. TIA is the only U.S. organization exclusively representing transportation intermediaries of all disciplines doing business in domestic and international commerce. TIA is the voice of transportation intermediaries to shippers, carriers, government officials, and international organizations.

TIA members include approximately 1200 motor carrier property brokers, surface freight forwarders, international ocean transportation intermediaries (ocean freight forwarders and non-vessel-operating common carriers), air forwarders, customs brokers, warehouse operators, logistics management companies, intermodal marketing companies, and motor carriers.

TIA is also the U.S. member of the International Federation of Freight Forwarders Associations (FIATA), the worldwide trade association of transportation intermediaries representing more than 40,000 companies in virtually every trading country. FIATA strongly supports these comments.

THE ROLE OF TRANSPORTATION INTERMEDIARIES

Transportation intermediaries or third party logistics professionals act as the "travel agents" for freight. They serve tens of thousands of shippers and carriers, bringing together the transportation needs of the cargo interests with the corresponding capacity and special equipment offered by rail, motor, air, and ocean carriers. Transportation intermediaries play a key role in cross border transportation.

Transportation intermediaries are primarily non-asset based companies whose expertise is providing mode and carrier neutral transportation arrangements for shippers with the underlying asset owning and operating carriers. They get to know the details of a shipper's business, then tailor a package of transportation services, sometimes by various modes of transportation, to meet those needs. Transportation intermediaries bring a targeted expertise to meet the shippers' transportation needs.

Many shippers in recent years have streamlined their acquisition and distribution operations. They have reduced their in-house transportation departments, and have chosen to deal directly with only a few "core carriers." Increasingly, they have contracted out the function of arranging transportation to intermediaries or third party experts. Every Fortune 100 Company now has at least one third party logistics company ("3PL") as one of its core carriers. Since the intermediary or 3PL, in turn, may have relationships with dozens, or even thousands, of underlying carriers, the shipper has many service options available to it from a single source by employing an intermediary.

Although intermediaries are described in the business and trade literature as “non-asset-based,” many intermediaries in fact own some assets, broadly defined. These include local pick up and delivery vehicles, over the road trucks, warehouses and cargo consolidation centers, complex computer and telecommunications systems, dispatching centers and sales offices.

Past studies have shown that there are thousands of companies in the intermediary industry. Despite this fragmentation and intense competition, approximately 80% of the non-vessel-common carrier (“NVOCC”) business is controlled by 20% of the companies. Most of those 20% are very large companies that move many thousands of containers annually. The rest are small to medium size companies, many owned and run by their founders, who aspire to the success of their larger counterparts, and compete head-to-head with the majors in niche or specialized markets where they can gain a competitive edge.

SHIPPERS AND CARRIERS RELY ON TRANSPORTATION INTERMEDIARIES

Shippers rely upon transportation intermediaries to arrange for the smooth and uninterrupted flow of goods from origin to destination, and many carriers rely upon them to keep their equipment filled and moving. It is, therefore, difficult to describe a typical intermediary, or to divide them into fixed categories. Most in international trade offer a mix of land, sea, and air services, customs brokerage (either directly or through subcontractors), warehousing, consolidation and deconsolidation, electronic tracking and tracing and trade advisory services (advice on letters of credit, commercial shipping terms, export administration requirements, transportation security and the like) adapted to the needs of their specific customer base or market niche.

**THE FMC SHOULD GRANT THE REQUESTED EXEMPTION FROM TARIFF PUBLICATION TO
BOTH LICENSED AND REGISTERED NVOCCs**

TIA has strongly supported use of the Commission's exemption authority under the Shipping Act of 1984 to relieve NVOCCs from the burden and expense of tariff publication. Indeed, the Shipping Act's statement of purpose includes references to "a minimum of government intervention and regulatory costs;" providing "an efficient and economic transportation system that is, insofar as possible, in harmony with, and responsive to, international shipping practices;" and promoting US exports "by placing greater reliance on the marketplace."

The NVOCC tariff publication exemption is intended to reduce operating costs for our NVOCC members, and allow them to concentrate on quality and price, rather than expending unnecessary time and expense on administrative compliance. We have not received any reports from members about complaints or objections from their customers about the way that the exemption has worked in practice. However, the requirement to freeze the rate in place for its duration has introduced a rigidity that has severely limited the commercial usefulness of the exemption, especially in trades where the underlying ocean carrier rates tend to be volatile, and rates quoted to customers must be modified frequently to take these changes into account.

Of greater concern is the FMC's failure to extend the exemption to foreign, unlicensed NVOCCs who remain subject to the requirement to publish and disclose their rates in public tariffs.

NCBFAA's original petition requested a tariff publication exemption for *all* NVOCCs, whether or not they are subject to the licensing requirement under the Shipping Act applicable to NVOCCs "in the United States." 46 USC § 40901(a). There is no principled reason that the

exemption should be limited to licensed NVOCCs, and TIA urges the Commission to make it available to all NVOCCs.

By discriminating between licensed NVOCCs in the United States and those outside the United State that are subject only to the registration requirement, as noted by TIA in previous comments, the exemption could subject registered NVOCCs to a competitive and cost disadvantage: they would have to continue to incur the cost (and potential enforcement risk) of tariff publication, and their rates would be on the public record for their competitors to see, while the rates of licensed NVOCCs able to avail themselves of the exemption would be confidential. Not only is this fundamentally unfair, but the uneven playing field that it creates could lead to retaliation that may subject U.S. NVOCCs to similar treatment by our trading partners in other countries.

For example, we have been informed that China is modeling its regulation of NVOCCs on the FMC's regulations. China has announced that NVOCCs are now required to file their rate ranges with the Shanghai Shipping Exchange for full container load export (prepaid) cargoes from China, and to register their bills of lading with the Ministry of Transport and with the local province or municipality where they have a representative or liaison office.

At the FMC's public hearing on the proposed exemption in 2010, some concern was expressed that the Commission had been warned by unidentified "staff" that it might be difficult for the Commission to enforce the Shipping Act against unlicensed NVOCCs if they were also

exempted from the publication of tariff rates.¹ A similar statement appeared in the explanation accompanying the final rule, and it is quoted again in the NOI. It is significant that no public comment filed in the earlier rulemaking advocated restricting the exemption to licensed NVOCCs. Although the NOI requests specific comments with “supporting data,” due to the Commission’s failure to disclose the basis for the staff’s assertion that extension of the exemption to foreign NVOCCs “could harm the agency’s mission to protect the shipping public,” commenters either are being asked to prove a negative or to guess at what the staff’s concerns might be. If the staff’s concerns were stated clearly, and the number and nature of enforcement actions using the published foreign NVOCC’s tariff as an enforcement tool to protect shippers were known, the public and the Commissioners could evaluate them. Then the Commissioners would be able to consider whether the exemption should be tailored or conditioned in some way to address the staff’s concerns, without subjecting the vast majority of law abiding foreign NVOCCs to the continued expense of tariff publication, and to public disclosure of their rates.

In its earlier comments TIA pointed out that the Commission retains the authority to condition or withdraw the exemption if a NVOCC, licensed or not, fails to comply with a lawful Commission demand for records or information, or if it has been found to be in violation of the FMC regulations. The statutory exemption authority granted to the Commission states in relevant part: “The Commission may attach conditions to an exemption and may, by order, revoke an exemption.” 46 USC § 40103(a). Thus, failure to comply could subject the offending NVOCC

¹ Under the Administrative Procedure Act, data or information residing in the Commission’s files, but not made a matter of public record in this rulemaking so that the public has an opportunity to review and comment upon it, may not lawfully form the basis for Commission action. *United States Lines Inc. v. Federal Maritime Commission*, 584 F.2d 519 (DC Cir 1978). The corresponding FMC regulation is at 46 CFR § 502.226.

to loss of the exemption and potential civil penalties or other enforcement action by the Commission.

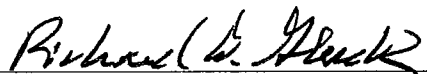
But the fact remains that not a single shipper – those whom the staff purports to be concerned about protecting – has insisted that foreign NVOCCs should be excluded from the exemption. The reason for that is obvious: NVOCCs using the exemption continue to be required to keep written records of the rates agreed with their shippers. As long as the shipper is billed at the rate agreed in writing, it has no reason to complain. For the most part this is the way business is conducted, regardless of whether a largely irrelevant rate tariff is published by the NVOCC, and this practice will continue, with or without tariffs. Indeed, Congress recognized this fact of commercial life by providing in the 1998 amendments to the Shipping Act that any rate agreed in writing and billed accordingly will be binding, even if the rate was not published, or was published incorrectly, in the carrier's tariff. 46 USC § 41109(d).

Therefore, TIA strongly supports extension of the NRA exemption to all NVOCCs, whether or not they are licensed by the FMC

Respectfully submitted,

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